
CREDIT CARD Vs DEBIT CARD
20 COMMON MISTAKES
CREDIT CARD DANGER
DEBIT CARD RISK
CREDIT CARD
DEBIT CARD

Why Credit Beats Debit: Protect Your Money & Boost Rewards

Discover how credit cards safeguard your funds and earn cash back

Chapter 1: Debit Fraud Drains Your Wallet Instantly

Hello friends today we will talk about debit and credit card security risks. When a fraud happens on your debit card. The money is immediately withdrawn from your own bank account.

This is your own hard earned money. It can take seven to ninety days to recover this money. The bank investigates your complaint.

Until then your account remains empty. But the case with a credit card is completely different. When fraud happens on a credit card the bank money is at risk.

The bank takes immediate steps to protect its money. Using a debit card while shopping online is a big mistake. Many times websites on the internet are not secure.

If fraud happens there it is very difficult to save money. Because the money has already been deducted from the debit card. On the contrary with a credit card you can easily get a chargeback.

The bank immediately stops that transaction. Using a debit card at a hotel or petrol pump is also dangerous. There your money gets held for a few days.

Hotels block thousands of rupees in the name of security. In a debit card this money gets frozen from your account. This stops your daily expenses.

Whereas in a credit card only its limit is affected. Your actual money remains safe. During international travel also a debit card is risky.

If fraud happens abroad it causes a lot of trouble. The return of money becomes a very long process. A credit card gives you very great protection in foreign transactions.

Apart from this recurring payments like Netflix or electricity bills. Giving them through a debit card is not considered safe. If that company gets hacked the danger increases.

Your entire bank account information can be leaked. This kind of risk is very low in a credit card. Reserve Bank of India rules are of zero liability.

But reporting late causes you to suffer the loss. Therefore always choose the right card with wisdom. Always keep your hard earned money safe.

Chapter 2: Petrol Pump Holds Freeze Your Cash

Using a debit card at petrol pumps and hotels is a huge risk. When you go to a petrol pump. A pre-authorization hold is applied there.

This hold can range from one thousand to five thousand rupees. Using a debit card freezes this money directly from your bank account. Your own money gets stuck right there.

This never happens with a credit card at all. In a credit card only the credit limit funds are blocked. No one touches the real money in your bank account.

The exact same big problem happens during hotel check-ins. Hotels hold anywhere from two thousand to ten thousand rupees for incidental charges. Paying with a debit card means this amount is cut from your account.

Then getting this money back takes anywhere from seven to thirty days. Places like gas stations and restaurants have tip adjustment procedures. You must avoid using a debit card at all these places.

Your money gets trapped unnecessarily at these locations. Later you have to run around a lot to get money back from the bank. The risk of fraud is also very high at these spots.

Once money is withdrawn from a debit card recovery is extremely difficult. A person gets exhausted running between the bank and the merchant. Using a credit card keeps your bank account completely safe at all times.

The bank money is at stake so the bank investigates itself. Therefore always use a credit card at places like petrol pumps and hotels. If you do not have a credit card paying cash is a better option.

Never put your hard-earned money at risk in this manner. A small precaution can save your thousands of rupees and keep you away from mental stress. Wisdom lies in learning how to use your cards correctly.

Now let us talk about saving money and rewards. The biggest benefit of using a credit card is that you get cash back and points. On good credit cards you can get a benefit of one to five percent.

Chapter 3: Debit Cards Offer No Real Rewards

On debit cards you get almost zero benefit. Suppose you spend thirty thousand rupees every month. This way you can save six thousand to fifteen thousand rupees in a year.

This money comes straight into your pocket. Apart from this you get an interest-free period of twenty to fifty days. This means you buy goods today and pay money next month.

In a debit card your own money is deducted immediately. On a credit card you get this facility for free. The bank gives you time to use the money.

If you pay the full money on time there is no extra charge. Think about how big a benefit this is. You can make good savings from your daily expenses itself.

It is also wise to use a credit card at petrol pumps. The hold that happens there applies to your credit limit. The money in your own bank account does not get blocked.

Similarly while doing online shopping you can take advantage of reward points. Many credit card companies

also offer special discounts. Such a facility is not given in a debit card.

Some people consider the debit card to be everything. This is a very big mistake. You should always think in a smart way.

Using the right card at the right place is wisdom. This way you can save thousands of rupees every year without any extra effort. Your money stays safe and you also get a chance to earn extra.

These small things manage your budget. Therefore change the way you spend from today itself. Now let us talk about building CIBIL score and smart borrowing.

Your CIBIL score is not built at all by a debit card. No matter how correctly you use a debit card. It has zero effect on your CIBIL score.

But paying your credit card on time increases your score. A credit card is a short term loan. Its use builds your credit history.

In the future, home loans or car loans are easily obtained. But one thing must be kept in mind here. Credit utilization on a credit card affects your score.

Chapter 4: Credit Utilization: Protect Your CIBIL Score

That means how much portion of your limit you use. If you use more than thirty percent of your limit. Then your CIBIL score can drop.

Even if you pay the full bill on time. People often do not know this fact. Also paying only the minimum due on a credit card is a huge mistake.

People think that they have paid the money. But paying the minimum due attracts very high interest. This interest can go from thirty six to forty two percent annually.

This keeps increasing the real debt continuously. Another big mistake happens with credit card payments. If even one bill of your credit card is delayed.

Then your CIBIL score can drop by fifty to one hundred points. Therefore a credit card demands a lot of discipline. For large purchases you can use a credit card.

You can convert a large amount into EMI. This can never be done on a debit card. You get the option of no cost EMI on a credit card.

By using cards smartly you can secure your future. Choosing the right card will make taking loans easy for you. Your CIBIL score will always remain excellent.

Now let us talk about the most common mistakes people make while using cards. People think that debit card and credit card are the exact same thing. Thinking like this can become your biggest financial mistake.

Both cards should be used in very different ways. A debit card uses your own hard earned money. A credit card is a short term loan running on bank money.

When you go to a petrol pump or a hotel you must use your card carefully. A temporary pre authorization hold is placed on your card there. This means some of your money gets blocked for a few days.

If this happens on a debit card your actual bank balance looks lower. Many people panic thinking their money has been deducted. Using a credit card at hotels or petrol pumps is considered much safer.

Chapter 5: Credit Holds Protect Funds from Online Fraud

On a credit card this hold is deducted from your credit limit. This does not affect the real money kept in your bank account. Apart from this people also make mistakes while shopping online.

When online fraud happens getting money back from a debit card is very difficult. This happens because the money has already left your bank account instantly. Getting those funds recovered from the bank can take many days.

But when fraud happens on a credit card the bank money is at risk. You can easily request a chargeback and your real account stays safe. Another big mistake people make is treating both cards in the same way.

They set up recurring payments for things like Netflix or electricity bills. If any company gets hacked your entire bank account can be accessed via debit card. Therefore paying attention to these small details is extremely important.

By using the right card at the right place you can save your hard earned money. This also protects you from fraud and keeps your credit score strong. Making smart decisions helps you live an easy life without any financial stress.

So friends, never treat debit and credit cards as the same thing. Always choose a credit card to avoid holds at petrol pumps and hotels. You can save thousands of rupees yearly by earning rewards and using the right card.

This will also improve your CIBIL score and protect you against fraud. Always act wisely when it comes to money and safety. Thank you very much for watching the video.

Have a great day.